

\$7 an ounce. Instead they would offer only 75-80 percent of that amount. You might make money but it would require a gain of more than 20 percent to do so.

Let's assume that you bought gold in bullion form. Unless you have an agreement with the sales company that they will buy it back from you, you may have a difficult time even selling your gold. If you do sell it, and gold is being quoted for, say, \$400 an ounce, you will discover that a broker won't give you \$400 an ounce for it. In fact, he may offer as little as \$350 an ounce even though it's certified bullion. Why? Because he needs to make a commission on it too.

Other collectibles, such as figurines, paintings, stamps, and coins, are very difficult for a novice to sell profitably. When you invest in these, you need to have a clear understanding of how and where you can resell them. I have counseled many people who said, "Well, the salesman told me that if I ever wanted to resell, he would buy it back." Then later they find out that their salesman is no longer around. You'd better be sure you know an alternate sales source in the event that the salesman or the company you buy through is gone. Even if they have been in business for 50 years, they can still fold, especially in a bad economy. Usually average investors are better off staying with less exotic investments that have multiple markets available.

32 KEY #10: TRAIN FAMILY MEMBERS

Every family member should be trained in the principles of sound investing.

Statistically in America, about 85 percent of the time, a wife is going to outlive her husband. That's an important key to remember when developing an investment portfolio. I have counseled enough widows, and especially young widows, to know that most of them have no concept of how to manage any kind of investment program. Many times, because they don't understand the investments, they will liquidate at the